



WIDENING FOOTPRINT A Reliance Trends outlet in DLF Mall of India, Noida. From Reliance Fresh and Smart Bazaar to Reliance Digital and Trends, RRL has built a powerful presence across the retail space

grocery, consumer electronics and appliances, gems and jewellery, and home furnishing, among others.

According to experts, Reliance's go-to-market strategy is simple: operate on economies of scale to keep costs in check; cut intermediaries to reduce distribution expenses and improve access to consumer shopping patterns; and offer products at a lower price than the competition. On the face of it, the group has already managed to turn some of it in its favour. Sample this: in the recently concluded December quarter, the retail giant's Ebitda (earnings before interest, taxes, depreciation and amortisation) margin stood at 7.7 per cent—70 basis

points higher than the year-ago period. And its profit after tax grew 6 per cent to ₹2,400 crore.

While most other retail majors operate at Ebitda margins of 1.5-2.5 per cent, Reliance's margin is already much higher than the industry average, points out Choksey. "By integrating the vast extent of its operations up to the last mile, Reliance has implemented some kind of 'just in time' model that reduces the stocks at the outlets, both owned and merchant partners' and, thus, brings down working capital requirements and improves profit margins," he says, adding that the wide range of private labels RIL has means higher profits for them,

compared to third-party brands.

While leading firms in the consumer goods market are attempting to develop a super app that can give access to all their products and services to potential consumers, Reliance has managed to establish MyJio as a super app for most of its offerings. Initially designed for its telecom customers, the app now allows anyone to shop across its grocery, pharma, telecom, fibre, streaming, news and media, digital banking, edtech, cloud storage and UPI payments offerings (see 'Preferred Destination'). To back it all up, it has tied up with Meta (Facebook) to allow consumers to order through WhatsApp. According to Jain, JioMart on WhatsApp continues to do well. "The active customer base is growing by 37 per cent month on month. Order value and number of orders continue to grow; orders have now grown 9x since launch. So, this platform is helping us really democratise WhatsApp's reach to new customers who are otherwise not able to shop on digital platforms," he said.

ITC's former top executive Rajesh, who now advises a large private equity firm, says RRL's thrust on building warehousing capacity points towards its big plans for the future. "An efficient supply chain helps capture demand in the market and may offer some advantages. But the key [to success] is whether consumers accept the new products and brands and how much pull one can create for them. So, a lot is riding on factors like their products strategy, the level of innovation they can bring in and their investments in brand building," he says.

Bottom line: Reliance Retail is already very big. And it is aiming to grow even bigger, much bigger. **BT**

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